

Reg No.: _____

Name: _____

APJ ABDUL KALAM TECHNOLOGICAL UNIVERSITY
Sixth Semester B.Tech Degree Examination June 2022 (2019 Scheme)

Course Code: HUT300

Course Name: INDUSTRIAL ECONOMICS & FOREIGN TRADE

Max. Marks: 100

Duration: 3 Hours

PART A

Answer all questions, each carries 3 marks.

Marks

- | | | |
|----|--|-----|
| 1 | Describe factors of production. | (3) |
| 2 | What should be the percentage change in price of a product if the sale is to be increased by 50 percentages and its price elasticity of demand is 2? | (3) |
| 3 | What is the economic significance of opportunity cost? | (3) |
| 4 | Define marginal utility. | (3) |
| 5 | What are the features of perfect competition? | (3) |
| 6 | Define market structure. | (3) |
| 7 | Differentiate between GDP and GNP. | (3) |
| 8 | What is money market & define its functions. | (3) |
| 9 | What do you mean by BOP? | (3) |
| 10 | What is free trade and what are its advantages? | (3) |

PART B

Answer one question from each module, each carries 14 marks.

Module I

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|----|--|-----|
| 11 | a) What is a production possibility curve? With the help of a production possibility curve, explain 1) Under-utilization of resources 2) Full employment of resources. | (8) |
| | b) What are the components of demand and state law of demand? | (6) |

OR

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|----|--|-----|
| 12 | a) Explain the law of diminishing marginal utility with diagram? | (8) |
| | b) State the law of supply and explain the determinants of supply. | (6) |

Module II

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|----|--|-----|
| 13 | a) Discuss cost-output relationship in short-run and long-run. | (8) |
| | b) What are isoquant curves? State their properties. | (6) |

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- 14 a) In a production function, $Q=2L^{1/2}K^{1/2}$. If $L=36$, 1) How many units of capital are needed to produce 60 units of output. 2) In the production function, $Q=2L^{1/2}K^{1/2}$ determine the percentage increase in output if labour is increased by 10% assuming capital is held constant. (8)
- b) Explain the law of variable Proportions. (6)

Module III

- 15 a) Compare the market situation of perfect competition with monopoly. (8)
- b) What is collusive oligopoly? (6)

OR

- 16 a) What is pricing and what are the different methods used for pricing? (8)
- b) Explain kinked demand curve. (6)

Module IV

- 17 a) Explain the methods of national income calculation. (8)
- b) What are the difficulties in the measurement of NI? (6)

OR

- 18 a) What is inflation and what are the fiscal policy measures to control inflation? (8)
- b) What is repo rate and how it controls inflation? (6)

Module V

- 19 a) State and explain the Heckscher -Ohlin theory of international trade. (8)
- b) What do you mean by devaluation? Explain the conditions for its success. (6)

OR

- 20 a) Explain any four measures to solve the problem of deficit in the balance of payments. (8)
- b) List any six arguments in support of protectionism. (6)
